LUXE BY MADIHA

Deliverable 11
Operations and Quality Control SOP

Standard Operating Procedure for daily workflows, product and order fulfilment, quality assurance, inventory control, reporting and corrective action

Client	Luxe by Madiha
Prepared by	Aimax Digital — Startup Launch and Business Development Consultancy Team
Document owner	Operations Manager (approved by Founder / Owner, Madiha)
Version	1.0
Effective date	[Insert launch date]
Review cycle	Every 6 months
Currency	Pakistani Rupees (PKR). All thresholds, timelines and targets are recommended starting values and should be adjusted to the company's actual scale.

1. Purpose, Scope and Principles

Purpose. This SOP describes how Luxe by Madiha runs its day-to-day operations: how work is allocated, how products are received, stored, sold and delivered, how quality is checked, how progress is reported, and how problems are corrected so that they do not return.

Scope. It applies to the owner, all employees, part-time staff, interns and contractors who handle stock, orders, customers or operational records, in the boutique and online.

Guiding principles

- **Authenticity first:** every product can be traced to an authorised source and a purchase record.
- **Right first time:** checks happen where problems start, not after the customer finds them.
- **Promise kept:** what the customer sees, is told and pays for is what they receive, on time.
- **Traceability:** every item, order, cash movement and decision leaves a record.
- **Fix causes, not just symptoms:** every serious issue leads to a corrective and preventive action.
- **Separation of duties:** the person who receives, records and approves stock should not be the same person where it can be avoided.

2. Roles and Responsibilities

Role	Key operations responsibilities
Owner / Founder	Approves suppliers and major stock purchases, signs off critical quality decisions, reviews monthly operations results.
Operations Manager (department head)	Runs the daily workflow, roster and task board; owns this SOP; approves stock adjustments within limits; leads corrective actions.
Inventory and Procurement Coordinator	Raises purchase requests, receives goods, maintains the stock register and counts, manages storage and reordering.
Quality Control and Merchandising Officer	Inspects incoming and returned goods, can stop the sale of any item, checks listings, display and photo accuracy.
Order Fulfilment and Dispatch Executive	Picks, checks, packs and dispatches online orders, books couriers, keeps the dispatch log and COD records.
Sales Manager	Owns the customer experience and sales targets, sets sales-floor standards, approves returns, refunds and discounts within limits.
Sales Associates / Boutique Stylists	Serve customers, maintain display, issue receipts, follow opening and closing checklists.
Customer Service and Online Orders Executive	Handles online and WhatsApp orders and enquiries, keeps the order register, handles complaints at first level.
Finance and Admin Officer	Matches purchase documents, reconciles payments and COD, supports stock reconciliation at month-end.
Marketing and Brand Manager	Provides accurate product information and photography standards (Deliverable 10).

Position titles and approval limits follow Deliverable 12. In a small team one person may cover several roles, but nobody approves their own work.

3. Operating Model Overview

Luxe by Madiha operates a boutique in Clifton, Karachi (currently open Monday to Saturday 11 AM to 9 PM and Sunday 1 PM to 7 PM) and takes orders through its website, WhatsApp and Instagram, plus personal styling appointments. Opening hours in this SOP must always match the hours published to customers.

The sections that follow describe each step, who owns it, and the quality checkpoint that protects it.

4. Daily Task Allocation and Workflow

4.1 Daily rhythm (recommended)

Time	Activity	Responsible
45 minutes before opening	Opening checklist (Annex A): unlock, cash float check, lights, display, steaming, price tags	Opening team (assigned on roster)
15 minutes before opening	Daily huddle (10 minutes): targets, new arrivals, appointments, deliveries, tasks, issues	Operations Manager
Opening hours	Customer service, fitting rooms, sales, appointments, WhatsApp and online replies	Sales team, Customer Service Executive
Late morning	Process receipts of goods, update stock register, confirm stock for online orders	Inventory and Procurement Coordinator
Midday and mid-afternoon	Two online order processing windows: confirm, pick, check, pack	Fulfilment Executive, Customer Service Executive
Late afternoon	Courier pick-up and tracking numbers sent to customers	Fulfilment Executive
Last hour	Return rack tidy, reserved items check, restock display	Sales Associates
Closing	Closing checklist (Annex A): two-person cash count, stock secured, security, daily report	Closing team, Operations Manager

Sunday and late-shift timings are adjusted to the published opening hours.

4.2 Task allocation rules

1. The Operations Manager publishes the weekly roster every Friday for the following week, with cover for absences and leave.
2. A shared task board lists every task with owner, due time, priority and status. No task exists without a named owner.
3. Priority 1: customer-facing or time-critical (orders due today, appointments, complaints). Priority 2: routine daily work. Priority 3: improvements and projects.
4. Each task is marked Green (on track), Amber (at risk) or Red (late or blocked). Amber and Red items are raised at the huddle or immediately.
5. At shift change, the outgoing person writes a short handover note: open orders, reserved items, pending issues.
6. Staff may swap tasks only with the Operations Manager's agreement and the board is updated.

4.3 Opening and closing

- Cash is counted by two people at opening and closing. Daily takings are deposited in the bank within one working day and are never used to pay expenses directly (Finance SOP).
- High-value items are returned to secure storage at closing. Alarm, CCTV and locks are checked and logged.
- The daily operations report (Annex E) is completed within 30 minutes of closing.

5. Sourcing and Receiving Goods

5.1 Sourcing rules

- Stock is bought only from suppliers and outlets on the Approved Supplier List, approved by the Owner.
- Every purchase follows the Finance SOP: purchase request, budget check, quotations where required, approval, and a three-way match of order, delivery proof and invoice.
- A purchase invoice or receipt is kept for every lot. This is the proof behind our authenticity promise.
- Replicas, "first copies" and goods from unverified sellers are never bought or sold.

5.2 Receiving procedure

1. **Count:** two people count goods against the purchase order and invoice on the day of arrival (or the next working day at the latest).
2. **Inspect:** the Quality Control Officer checks each item using the Goods Receiving and Inspection Form (Annex B): brand labels and hang tags, article code, stitching, fabric, print and embroidery, colour against the catalogue, size labels, packaging, odour and cleanliness.
3. **Authenticity check:** brand tags and article codes match the invoice. Any doubt places the item in quarantine and is reported to the Operations Manager the same day.
4. **Record:** a Goods Received Note is created, and each item is entered in the stock register with its SKU and location.
5. **Quarantine:** defective or doubtful items go to the marked quarantine area. The decision (return, exchange, rework, reject, or sell with disclosed defect only if approved) is recorded.
6. **Photograph:** items are photographed to brand standards before listing.
7. **Hand over documents:** the invoice and GRN go to the Finance Officer for matching before payment.

5.3 SKU and tagging

Every item gets a unique SKU built as **BRAND-CATEGORY-ARTICLE-SIZE** (for example KHD-3PC-0000-M), a Luxe by Madiha price tag or barcode, and a storage location code. Brand tags are never removed.

6. Inventory and Stock Management

6.1 Storage

- Clean, dry, pest-free storage, away from direct sunlight and moisture. Garments are hung or folded by brand, category and size.
- High-value items are kept in a locked area. Quarantine and returns have separate, clearly marked areas.
- Fire extinguisher, first-aid kit and emergency exits are kept clear and checked monthly.

6.2 Stock records

- One stock register (spreadsheet or inventory software) is the single source of truth. Every receipt, sale, return, transfer and write-off is recorded the same day.
- Online stock is synchronised with the shelf at least twice a day, and immediately after each online sale, to prevent overselling. Stock shown to customers must be accurate.
- Reserved items carry a tag with customer name, date and expiry (recommended: 48 hours).

6.3 Counts and adjustments

Check	Frequency	Done by	Reviewed by
High-value item check	Daily at open and close	Sales Associates	Operations Manager
Cycle count (one brand or category)	Weekly	Inventory Coordinator with a second person	Operations Manager
Full or sample count against records	Monthly, before month-end day 4	Operations and Finance	Owner
Surprise count	At least quarterly	Owner or Finance Officer	Owner

- Any difference is investigated and explained. A difference above 1% of stock value, or any missing high-value item, is reported to the Owner.
- Stock adjustments and write-offs are approved according to the value limits in the Finance SOP approval matrix, with a written reason, and are never made by the person who keeps the register alone.

6.4 Reordering and slow stock

- Minimum and maximum levels are set by brand and category from sales history and updated monthly.
- An ageing report lists items unsold for more than 60 days (recommended). The Sales Manager proposes markdowns; discounts above 10% need approval and a documented reason (Finance SOP).
- End-of-season stock is planned two months ahead to avoid large unsold balances.

6.5 Loss prevention

- CCTV covers the shop floor, counter and stock room. Staff bags are stored away from the sales floor.
- Fitting rooms are monitored and items counted in and out. Security tags are used where fitted.
- Red flags (frequent voids, repeated shortages, unexplained adjustments) are reported to the Owner under the Finance SOP fraud procedure.

7. Order Fulfilment and Delivery

7.1 In-store sale

1. Greet, understand the need, suggest items and offer a fitting.
2. Check the item again at the counter (tags, cleanliness, no defects).
3. Issue a sales receipt with a unique sequential number, record the payment and update stock.
4. Pack neatly in branded packaging and thank the customer. Explain the return policy briefly.

7.2 Online and WhatsApp orders

1. **Log:** every order is entered in the order register with an order number, date, source and customer details.
2. **Confirm availability** by physically checking the item, within 2 working hours.
3. **Confirm** item, size, price, delivery address, phone number and payment method with the customer.
4. **Payment:** bank transfer or wallet payments are verified in the bank or wallet account (not only from a screenshot) before dispatch. Cash on delivery is recorded as a receivable until the courier remits it.
5. **Reserve and pick** the exact item, and mark it as sold in the stock register.

6. **Pre-dispatch quality check** (Annex C), including a second-person check for orders above PKR 25,000 and a random 10% of other orders.
7. **Pack** securely, include the receipt and a care note, and seal.
8. **Book the courier,** record the tracking number in the dispatch log and send it to the customer the same day.
9. **Confirm delivery,** request feedback, and close the order.
10. **COD reconciliation:** courier remittances are matched to the dispatch log weekly. Differences are raised with the courier and reported to Finance.

Service level (recommended)	Target
Order acknowledgement	Within 2 working hours in opening hours
Dispatch of in-stock items after confirmation	Within 1–2 working days
Delivery in Karachi	1–3 working days
Delivery to other cities	3–5 working days (courier dependent)
Free shipping	Orders above PKR 10,000, on the terms published on the website; below that, courier charges apply as set by the Sales Manager

Delivery timeframes must match what the website, WhatsApp and the published policies tell customers.

7.3 Personal styling appointments

- Appointment requests from the website or WhatsApp are confirmed within 2 working hours with date, time and brand of interest.
- A stylist prepares a selection in advance, checks stock and sizes, and keeps the area ready. Notes on the customer's preferences are recorded with consent.
- No-shows are recorded. The customer is thanked and followed up within 2 days.

7.4 Returns, exchanges and refunds

The return window and conditions below are recommended starting terms. The Owner confirms them, and they must be published on the website and match this SOP.

- Eligible items: unworn, unwashed, with tags attached, in original packaging, with proof of purchase, within the return window (recommended 7 days from delivery or purchase).
- Defective, damaged or wrong items: exchanged or refunded at our cost.
- Change-of-mind returns: exchange or credit note, with courier cost shared as per policy.
- Every return is inspected by the Quality Control Officer using Annex B. Items returned in good condition are re-checked and restocked; damaged or worn items are rejected with a written explanation to the customer.
- Refunds, voids and credit notes need manager approval and a documented reason (Finance SOP). Refunds go back through the original payment method within 7 working days of approval.

8. Quality Assurance

8.1 Standards

Standard	What it means
Product	Authentic, undamaged, clean, correctly labelled and tagged, pressed or steamed, in the right size and colour.
Information	Online listing, photos, tag and receipt all match the physical item in brand, colour, fabric, size and price.
Presentation	Tidy display, clear pricing, size runs complete, fitting rooms clean, packaging neat.
Service	Polite, prompt, honest advice; promises kept; complaints answered quickly.

8.2 Quality checkpoints

Checkpoint	What is checked	Owner	Record	If it fails
CP1: Receiving	Quantity, authenticity, defects, labels, packaging	QC Officer with Inventory Coordinator	Annex B, GRN	Quarantine; supplier claim
CP2: Listing and tagging	Photo colour, description, price, SKU, size; second person checks price	QC and Merchandising Officer	Listing checklist	Correct before publishing
CP3: Display	Cleanliness, tags, size runs, no damaged items on floor	Sales Associates	Annex A	Fix same day
CP4: Pre-dispatch	Right item, size and colour; no defect; clean; correct receipt and address	Fulfilment Executive plus second check where required	Annex C	Hold order; correct; notify customer if delayed
CP5: Delivery and after-sales	Delivery confirmed, customer satisfied, feedback captured	Customer Service Executive	Order register	Complaint procedure
CP6: Returns	Condition, authenticity of returned item, reason	QC Officer	Annex B	Reject or quarantine; CAPA if cause found

8.3 Defect classification

Class	Examples	Action
Critical	Suspected counterfeit, wrong item sent, hygiene or safety issue	Stop sale immediately; quarantine; inform the Owner the same day; CAPA required
Major	Visible defect, damage, wrong size or colour affecting use or value	Quarantine; not sold as first quality; return to supplier or reject; CAPA if repeated
Minor	Loose thread, light crease, missing hanger	Correct before sale; record if repeated

8.4 Authenticity assurance

- Authenticity is checked at receiving and again when a customer raises a concern.
- If there is any doubt that an item is genuine, it is not sold.
- Any customer concern about authenticity goes to the Owner within the same working day. Supplier invoices and the item record are used to respond (see Deliverable 10, Section 11).

8.5 Quality audits

- Weekly: the Operations Manager checks a sample of 10 items on display and 5 dispatched orders against the checkpoints.
- Monthly: the Owner walks the boutique and reviews a sample of 20 orders and returns.
- Results, findings and actions are listed in the weekly and monthly reports.

8.6 Operations quality indicators (starting targets)

Indicator	Target
Order accuracy (right item, size, colour)	99% or better
On-time dispatch	95% or better
Stock record accuracy at counts	98% or better
Online return rate	At or below 8–10%
Defect or quality complaints per 100 orders	2 or fewer
Complaints resolved within 3 working days	90% or better
Corrective actions closed on time	90% or better

9. Progress Reporting

Report	Frequency	Prepared by	Reviewed by	Main contents
Daily operations report	Daily, within 30 minutes of closing	Operations Manager or shift lead	Owner (by message or summary)	Sales, orders received, dispatched and pending, stock issues, complaints, incidents, cash count result, tasks done and pending
Weekly operations report	Weekly (Monday for previous week)	Operations Manager	Owner and department heads	Sales and order performance, counts, QC results, returns, delays, CAPA status
Monthly operations review	Monthly (month-end days 4 to 10)	Operations Manager with Finance	Owner	KPIs, stock reconciliation, ageing stock, supplier performance, shrinkage, CAPA effectiveness

Meetings

- **Daily huddle:** 10 minutes before opening.
- **Weekly operations meeting:** 30 minutes, review the weekly report and the task board.
- **Monthly review:** part of the management review meeting described in the Finance SOP.

10. Handling Delays and Operational Issues

10.1 Common issues and first response

Issue	Immediate action	Responsible	Escalate when
Supplier delay or short supply	Contact supplier; update expected date; adjust listing and campaigns	Inventory Coordinator	More than 2 days late or affecting a campaign: Operations Manager and Marketing
Item out of stock or oversold	Inform the customer at once; offer alternative, wait or refund	Customer Service Executive	Repeated or high-value: Operations Manager
Courier delay, loss or damage	Contact courier; update customer; start a claim	Fulfilment Executive	More than 1 working day late: Operations Manager; lost or damaged: replace or refund per policy and report
Payment not received or suspicious	Hold the order; verify in the account; contact the customer	Customer Service Executive and Finance	Suspicion of fraud: Owner
Wrong or damaged item sent	Apologise, arrange replacement or refund, collect the item	Customer Service Executive	Always raise a corrective action
Website, WhatsApp or system outage	Use backup (WhatsApp, phone, manual order sheet); inform customers	Marketing and Brand Manager and Operations Manager	More than 2 hours: Owner
Staff absence	Use roster cover; reassign priority 1 tasks	Operations Manager	Two or more absent: Owner
Power, water, air-conditioning or building problem	Make the area safe; use backup lighting; call maintenance	Operations Manager	Stock or safety at risk: Owner
Theft or security incident	Secure the area and evidence; do not confront; record	Operations Manager	Immediately to Owner

10.2 Delay procedure

1. Identify the delay as early as possible and record it in the order register.
2. Tell the customer the same day, before they chase, with the new expected date and the option to cancel or take a refund.
3. Escalate: more than 1 working day past the promised date goes to the Operations Manager; more than 3 working days goes to the Owner.
4. Compensation (such as free shipping on the next order) is approved by the Sales Manager or Owner within the Finance SOP limits.
5. Record the cause and include it in the weekly report. Repeated causes become corrective actions (Section 11).

10.3 Continuity basics

- Power or internet outage: continue sales with sequentially numbered manual receipts and record them in the system afterwards.
- Keep a printed contact list for the owner, couriers, key suppliers, landlord, electrician and emergency services.
- Back up the stock register and order register daily following the IT Governance and Security procedures.

11. Corrective and Preventive Actions (CAPA)

11.1 When a corrective action is required

- Any critical or major defect, or a wrong item delivered.
- A customer complaint that points to a process failure.
- The same minor issue three times within 30 days.
- Audit findings, stock differences above tolerance, repeated delays, or near-misses.
- Signs of fraud or control breaches (also reported under the Finance SOP).

11.2 Procedure

1. **Contain:** stop the problem and protect the customer (quarantine, hold orders, correct the listing).
2. **Log:** record the issue in the CAPA register using the form in Annex D.
3. **Find the root cause:** ask "why?" up to five times, or use a simple cause-and-effect chart. Do not stop at a person; look at the process, tools, training or checklist.
4. **Corrective action:** fix this occurrence and the cause.
5. **Preventive action:** change the process, checklist, layout or training so it cannot happen again.
6. **Assign** an owner and a due date.
7. **Verify:** after 30 days, check that the problem has not returned.
8. **Close:** the Operations Manager signs off (the Owner for critical issues). Lessons are shared at the weekly meeting.

Severity	Containment	Action plan due	Closure
Critical	Immediately	Within 3 days	Owner sign-off
Major	Same day	Within 7 days	Operations Manager
Minor / repeated	Within 2 days	Within 14 days	Operations Manager

11.3 Worked example

Step	Example: a customer receives the wrong size
Why 1?	The packer picked a medium instead of a large.
Why 2?	Both sizes were on the same hanger rail and the labels looked alike.
Why 3?	There was no second check of the size against the order.
Corrective action	Send the correct size at our cost and collect the wrong one.
Preventive action	Separate rails by size, use a size sticker on the garment bag, add a size check line to Annex C, and retrain the team.
Verification	No size errors in the next 30 days of dispatches.

11.4 Monitoring and supplier actions

- The CAPA register is reviewed weekly (open and overdue items) and monthly (effectiveness and repeat issues).
- Repeated supplier defects are reported to the supplier in writing with a request for replacement or credit and are noted in supplier performance. Serious or repeated problems can remove a supplier from the Approved Supplier List.

12. Training, Records and Review

- **Onboarding:** every new employee is trained on this SOP, product and authenticity checks, the stock register, customer service standards and the brand guidelines, and signs off the checklist within the first two weeks.
- **Refreshers:** short refresher sessions every quarter and after any critical or major issue. Staff are cross-trained so that key tasks have cover.
- **Records:** stock register, goods received notes, inspection forms, order register, dispatch log, return records and the CAPA register are kept for at least 3 years; financial records follow the Finance SOP (at least 6 years).
- **Exceptions** to this SOP require the Owner's written approval with reason, scope and time period, and are logged.
- **Breaches** are handled under the Employee Policies. **Review:** every 6 months, or after a major incident, a change in suppliers, channels or premises, or a growth step.

Annex A — Daily Opening and Closing Checklist

Opening

[ ] Premises unlocked, security system and CCTV working
[ ] Cash float counted by two people and signed
[ ] Lights, air-conditioning and fitting rooms ready
[ ] Display tidy, garments steamed, price tags visible
[ ] High-value items out of secure storage and counted
[ ] New arrivals displayed, reserved items checked
[ ] Online orders and messages from overnight reviewed
[ ] Daily huddle completed

Closing

[ ] Fitting rooms and floor checked for items left behind
[ ] Cash and card takings counted by two people and recorded
[ ] Takings secured for deposit within one working day
[ ] High-value items counted and locked away
[ ] Stock register and online stock updated
[ ] Online orders for dispatch packed and ready
[ ] Premises cleaned, lights off, alarm set, doors locked
[ ] Daily operations report sent

Annex B — Goods Receiving and Inspection Form

Field	Entry
Date and GRN number	
Supplier / source and invoice number	
Purchase order or request number	
Quantity expected / received	
Brand tags and labels present and original (Yes / No)	
Article code matches invoice (Yes / No)	
Stitching, fabric, print and embroidery checked (Yes / No)	
Colour matches catalogue or sample (Yes / No)	
Size labels correct (Yes / No)	
Defects found (item, type, class)	
Decision (accept / quarantine / return / reject)	
Inspected by (name, signature)	
Second person count (name, signature)	

Annex C — Pre-Dispatch Checklist and Dispatch Log

[ ] Order number and customer name match the item and receipt
[ ] Item, brand, size and colour match the order
[ ] Item is clean, pressed, free of defects, tags attached
[ ] Payment verified (or COD recorded)
[ ] Receipt and care note included
[ ] Parcel sealed; address label and phone number correct
[ ] Second-person check done (orders above PKR 25,000 or random 10%)

Dispatch log columns

Date	Order no.	Customer / city	Item(s)	Courier	Tracking no.	COD amount	Packed by	Checked by

Annex D — Incident and Corrective Action (CAPA) Form

Field	Entry
CAPA number and date	
Reported by	
Description of the issue and where it was found	
Severity (critical / major / minor)	
Containment action taken	
Root cause (5 whys)	
Corrective action	
Preventive action	
Owner and due date	
Verification date and result	
Closed by (name, signature, date)	

Annex E — Daily Operations Report (Template)

Field	Entry
Date and day	
Prepared by	
Total sales (store / online)	
Orders received / dispatched / pending	
Orders delayed (number and reason)	
Stock issues (shortages, oversold, damaged)	
Complaints and how they were handled	
Quality issues or defects found	
Incidents (security, safety, system)	
Cash count result (matches / difference)	
Tasks completed / not completed	
Notes for the next shift	

Weekly and monthly report outline

- Sales and orders against target; order accuracy, on-time dispatch and return rate.
- Counts and stock accuracy; ageing and slow stock; shrinkage.
- Quality results by checkpoint and audit findings.
- Delays, issues and complaints with causes.
- CAPA register: opened, closed, overdue, repeat issues.
- Supplier performance and actions planned for the next period.

Annex F — Document Control and Approval

Version	Date	Author	Approved by	Description of change
1.0	[Date]	Aimax Digital	Madiha (Owner)	Initial release

Acknowledgement: All employees with operations responsibilities must sign to confirm they have read and understood this SOP.

Name: _____ Signature: _____ Date: _____